

The value investor's soul looks more like that of an accountant. Studies of the two styles show results that are in line with the personalities of their adherents. The growth stock buyer, the gambler, is more likely to strike it rich. The value buyer can get rich, too, but slowly; on average, year by year, he will make a higher return.

Investor, Know Thyself

People do seem to be born with a predilection for one style or the other. It's a matter of personality.

One woman invited to an important party will go to Neiman Marcus and tell the saleslady she wants a knockout outfit, probably by a name designer, something that will make her look marvelous and feel great. Cost is a secondary consideration. The saleslady understands perfectly: "Here's a fantastic dress from Escada. Everybody will recognize it as an Escada, as a beautiful, quality—and expensive—dress. You'll be a great hit." And the woman will pay \$1,200 for the dress, go to the party, and indeed feel on top of the world.

Another woman has a totally different response to her invitation. She immediately heads for Loehmann's or Filene's Basement or some other discount-and-remainder emporium, and shops assiduously until she settles on a decent dress for \$150. She goes to the party with just as much inner satisfaction as the lady in the couturier outfit. If the first woman can imply, "My marvelous dress shows how much style and money I have, and that makes me feel wonderful," the other woman can respond, "I have a dress that I'll bet cost only a tenth of what's on your back, and mine looks almost as good. I feel great because I'm proud of being imaginative and creative and thrifty."

Two approaches, wholly different, and you can't say one is more valid than the other. Both women are doing what is right for them, and both of the stores they've patronized are commendable in terms of the kind of goods they specialize in.